OXFORD ECONOMICS

Economy remains relatively resilient in the face of headwinds

- Key changes: Following the detailed Q1 GDP release, we have maintained our 2026 GDP growth forecast at 0.4% but revised private consumption down to 0.3%, while upgrading our investment outlook. The Q1 composition was weaker than the flash estimate implied. Services exports were the dominant swing factor, but this is unlikely to repeat. The government's contribution to the expansion was negligible. Household consumption flatlined, with downward revisions painting a much bleaker picture of private spending. This is consistent with our view that economic activity in Germany was soft even before the outbreak of the US/Israel war with Iran. Our 2027 GDP forecast is unchanged at 1.6%.
- Short-term forecast: We expect a Q2 contraction, with private consumption the key weak spot after data revisions and disappointing retail sales. Higher energy prices, a deteriorating labour market, and weak confidence are dampening household spending, while investment should provide a partial offset as it rebounds from a weather-driven Q1 drag. Beyond H1, growth is expected to accelerate gradually as the fiscal stimulus broadens and the energy price shock fades.
- What to watch out for: Surveys steadied in May, with the manufacturing PMI remaining in positive territory. Industry has benefitted from frontrunning ahead of higher prices, and the competitiveness of energy-intensive sectors in Germany has increased during the global energy price shock. Still, sentiment is well below levels prior to the Iran war, and with the inflationary shock building as the conflict persists, the outlook continues to deteriorate. Employment has been falling for a year now and, if the labour market continues to weaken, the drag on consumption could be larger than we project. Inflation will remain elevated and lower corporate margins could accelerate the pass-through of higher costs to consumer prices, putting further pressure on real incomes.

Table 1: Germany forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	-0.7	-0.5	0.3	0.4	1.6	2.0
Private consumption	-0.5	0.5	1.5	0.3	1.8	2.1
Industrial production	-1.9	-4.6	-0.9	-0.3	2.8	2.7
Employment	0.7	0.1	0.0	-0.3	0.2	0.3
Unemployment rate (%)	5.7	6.0	6.3	6.3	5.9	5.3
Government balance (% of GDP)	-2.5	-2.7	-2.7	-3.2	-3.3	-3.8
Gross government debt (% of GDP)	62.3	62.2	63.4	64.6	64.9	65.7
Current a/c balance (% of GDP)	5.5	5.9	4.5	4.2	4.0	3.7
Consumer prices	5.9	2.3	2.2	2.9	2.4	2.1
ECB's deposit rate (%, EOP)	4.0	3.0	2.0	2.5	2.0	2.0
10yr govt. bond yield (%, EOP)	2.0	2.4	2.9	3.0	2.9	2.9
Exchange rate (US$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

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Baseline forecast

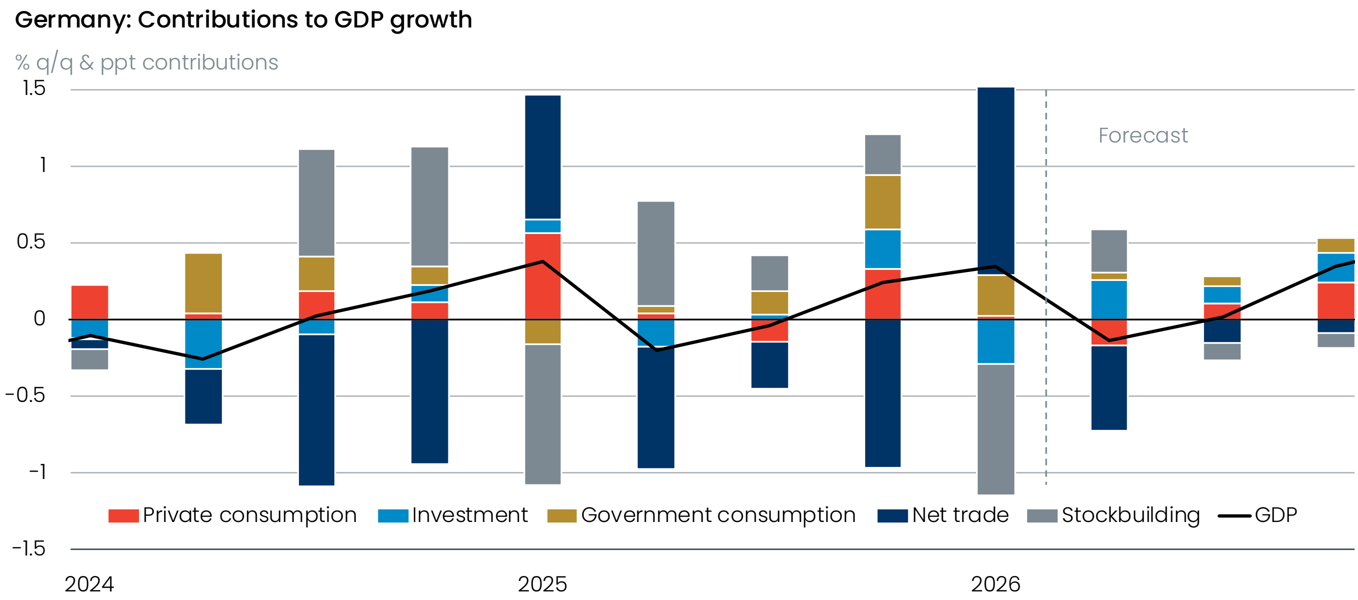
Recent developments

The confirmed growth of 0.3% q/q in Q1 marks a second consecutive quarterly expansion (Chart 1). But a detailed look reveals a different picture, and one that supports our view that Germany's GDP growth would be soft in 2026 even before the Iran war hit. Government investment and consumption provided a strong initial boost in Q4, but their combined contribution was close to zero in Q1, suggesting that fiscal deployment is taking time to gain traction, even accounting for the adverse weather that suppressed construction activity. Services exports were the largest swing factor, adding an estimated 0.8ppts to quarterly growth and more than reversing Q4's drag. But this is unlikely to repeat and underlying momentum looks weak: household consumption essentially flatlined, reflecting the early impact of the Iran war on confidence and real incomes. Meanwhile, private investment outside weather-hit construction was a modest positive, as a surge in machinery and equipment investment reversed Q4's fall.

Factory orders fell 3.8% m/m in April, with core orders down by the same amount, broadly in line with our expectations. The drop followed a front-running-driven surge in March, so the level of core orders nonetheless remains above the previous quarter and above pre-war levels. Industrial production rose 0.4% m/m in April, led by a strong jump in construction and continued outperformance in energy-intensive sectors, consistent with some residual front-loading ahead of tighter supply and improved competitiveness of German industry amidst a global energy price surge. Manufacturing was flat, with capital goods held back by a further sharp contraction in autos, in line with the order decline. Critically, March was revised significantly upward, reducing the scale of Q1 weakness. Trade, which had supported the economy in Q1, saw import growth outpace exports in April, compressing the surplus to its lowest level in over a year. With US-bound shipments still well below year-ago levels, external demand from outside the EU is still a drag on activity.

The labour market remains in a slump. In Q1, employment contracted for the fourth consecutive quarter and we expect another contraction in Q2. The unemployment rate eased slightly to 6.3% in May and unemployment fell below the three million mark, though high-frequency indicators point to no turnaround, with job vacancies still depressed.

Chart 1: The surge in services exports that drove the Q1 uptick won't repeat in Q2



Sources: Oxford Economics, Haver Analytics

Retail sales fell 0.3% m/m in April, extending a run of weakness, and we expect a further contraction in household spending in Q2. The headline Economic Sentiment Indicator (ESI) improved marginally in May, but consumer sentiment remained dismal at -16.1, while industry deteriorated to -15.6. Assessments of both the economic situation and economic expectations remained deeply negative, and unemployment expectations rose yet again. Price expectations eased, likely reflecting lower observed prices at the fuel pump following the temporary energy tax reduction on petrol and diesel in May and June. Still, households continue to prioritise saving over spending, creating a headwind for consumption in the near term.

Inflation eased 0.3ppts to 2.6% y/y in May, as both energy and food price inflation eased. The introduction of a government fuel subsidy for May and June lowered energy inflation as expected, pulling it back from the sharp 10.1% y/y spike in April. Easing food price inflation reflects competitive pricing conditions in supermarkets and ample supply after last year's strong harvest. Core inflation edged higher to 2.5%, reflecting a reversal in package holiday prices and a broader firming in services. Import prices rose 5.3% y/y in April, the steepest increase since January 2023. Producer prices also accelerated, pointing to significant pipeline pressure on consumer prices. We continue to think inflation will average 2.9% this year, as the temporary fuel price break unwinds after June and upstream cost increases creep through to consumer prices.

Short-term forecast

We've maintained our GDP growth forecast for 2026 at 0.4%, but expect a contraction in Q2. Private consumption is increasingly turning into a weak spot after recent data revisions and disappointing retail sales. The labour market is still deteriorating and, with real incomes under pressure from higher inflation, we now expect a more muted performance of household spending, dampening what was expected to be a key recovery driver this year.

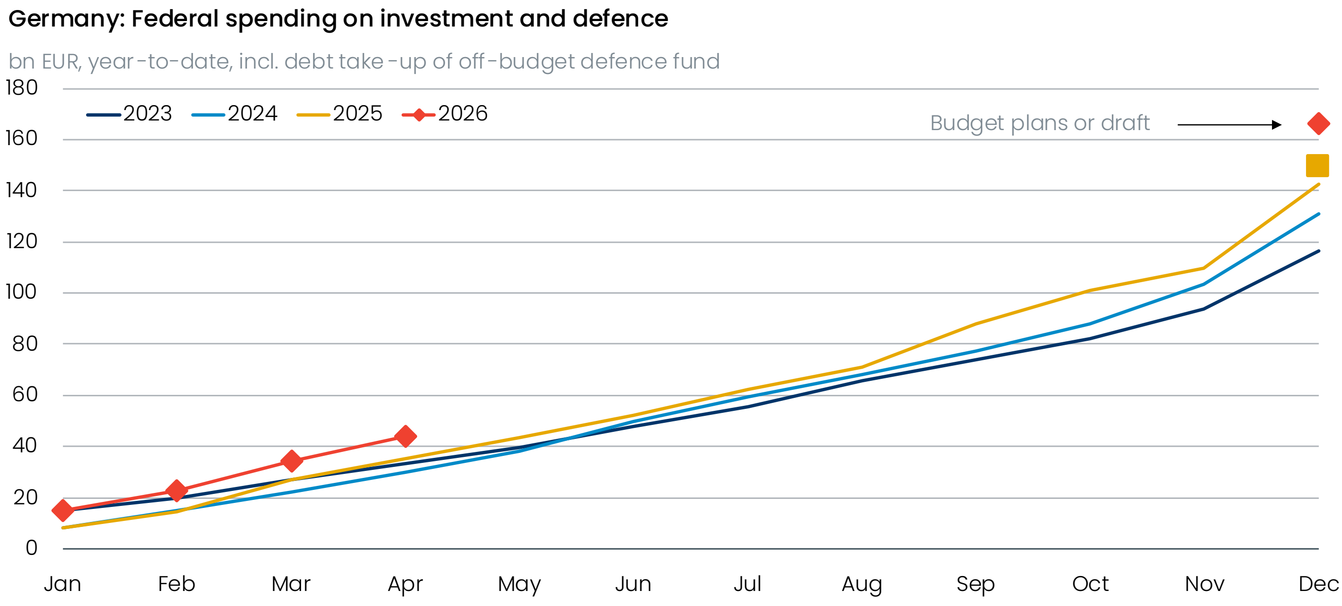
Industry has remained resilient despite headwinds, though it deteriorated in Q1 relative to last year's strong Q4. Recent data suggest no meaningful improvement in Q2, but we expect a contraction can be avoided as construction rebounds from a harsh winter. Over the coming quarters, we forecast growth will gradually accelerate as the government's fiscal stimulus gains traction and inflation pressures ease. However, the rebound is still expected to be backloaded. Deteriorating real incomes will weigh on private spending, and we now forecast private consumption growth of 0.3% this year, down from 0.6% in our previous forecast. We expect the unemployment rate to remain elevated at 6.3% this year before falling to 5.9% in 2027. Our medium-term outlook remains cautious. GDP growth of 1.6% in 2027 reflects a more backloaded fiscal impulse, a weaker labour market, and a lower base for private spending after data revisions.

Policy assumptions

Fiscal policy. We continue to anticipate a gradual rollout of the massive easing, given the usual implementation delays for big projects and sectoral bottlenecks, especially in the defence industry (Chart 2). The tighter EU fiscal rules mean we don't think Germany will exhaust its legally feasible fiscal space. But this still marks a sea change for German fiscal policy and means it will support the growth outlook, not drag on it. The 2%-3% of GDP fiscal easing relative to our baseline from February last year risks being quite inflationary unless the government makes good on its promise to deliver structural reforms.

Monetary policy. We project two 25bps rate hikes by the European Central Bank this year to keep inflation expectations anchored amid a quick rise in energy prices. This reflects a new era of more frequent global supply shocks that require a more robust policy response. Also, the ECB's communication has remained hawkish ever since the inflation surge in 2022, so we don’t think the central bank will be able to look through this energy shock, even if it deems it temporary. But we expect the ECB to cut rates again relatively quickly in mid-2027, bringing the deposit rate back to 2% as energy prices normalise.

Chart 2: Defence sector spending illustrates implementation problems

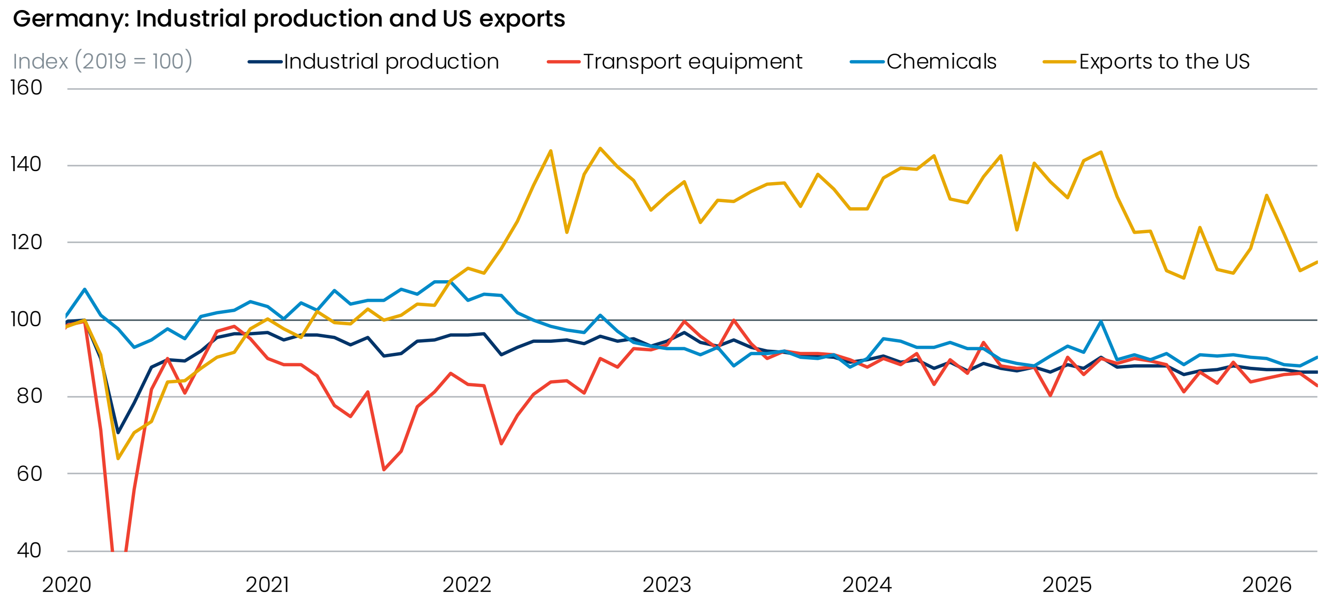


Sources: Oxford Economics, Haver Analytics, Bundesfinanzministerium, Bundestag

Key drivers of short-term forecast

Industry is stuck between low external demand and defence spending. The near-term outlook for German industry remains challenging as a nascent, fiscally-supported recovery now faces higher input costs and weaker global demand. Industrial production contracted in Q1 after a brief improvement at the end of 2025, and despite a resilient April factory orders print after the previous surge, the data still point towards slowing momentum amidst a world economy trapped between geopolitical uncertainty and surging input prices (Chart 3). Rising import prices are squeezing margins, limiting any rebound even as order books fill. Still, new infrastructure investment and higher defence spending will be a boon for industry, but planning and implementation delays are likely. US tariffs, elevated input costs, geopolitical uncertainty, and Chinese competition will continue to weigh on foreign demand. We see industrial production excluding construction contracting by 0.3% this year, with momentum expected to build later this year as fiscal stimulus broadens and energy prices gradually ease.

Chart 3: Energy-intensive sectors such as chemicals improved recently



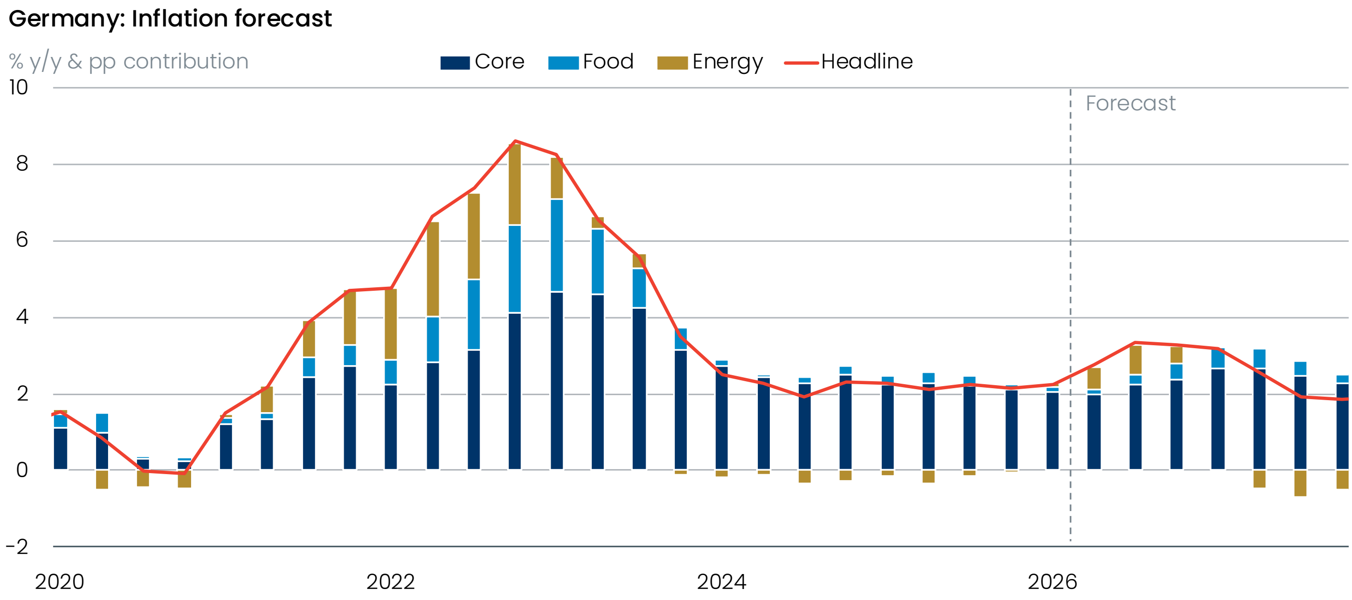
Sources: Oxford Economics, Haver Analytics

Consumer outlook has deteriorated. The labour market remains soft, with employment falling for four consecutive quarters. Hiring plans have worsened and we forecast employment will contract throughout H1, falling 0.3% in 2026. The unemployment rate is set to average 6.3% this year, before falling to 5.9% in 2027. Job cuts in industry are continuing, and risks are increasingly to the downside as the economic outlook deteriorates. Consumers are set to remain cautious on spending in the near term as inflation accelerates and real incomes come under pressure. After data revisions, we've adjusted our retail sales forecast to a 0.3% contraction this year, marginally higher than in our last forecast.

Energy prices are back as inflation drivers. Headline inflation jumped in March and rising energy prices are set to feed through to core and food inflation. A temporary fuel price subsidy will continue to reduce energy inflation in June but also lead to an inflation reversal in July once it ends. We continue to expect headline inflation to average 2.9% this year, followed by 2.4% in 2027, as wages catch up and put upward pressure on core inflation (Chart 4). In addition, the fiscal stimulus is set to gain traction later this year and especially in 2027, with its size and long duration – despite limited spare capacity – signalling an inflationary impact. Base effects and gradually declining energy prices should slow headline inflation in 2027 and 2028, but we expect inflation to accelerate again after that as shortages of qualified labour become more pronounced, lifting wage growth.

Fiscal package to benefit investment. Housing investment improved in Q4 last year after increasing building permits and improving surveys had pointed towards a bottoming out. But the recent rise in bond yields, higher inflation eroding purchasing power, and tighter financial conditions will slow the recovery. Q1 data confirmed the weather-related setback we had expected, but we still expect housing to have bottomed out and to benefit from the fiscal shift. The case for a fiscal boost is even stronger for business and government investment, both of which will surge once the government deploys the funds. However, higher uncertainty and weaker external demand are likely to weigh on business investment in the near term, before the fiscal impetus takes effect. Investment growth could reach 7% by 2028 at the peak of the rearmament, broadly similar in size to the boom ahead of the financial crisis. A key downside risk is sectoral bottlenecks.

Chart 4: Energy prices will push up inflation this year



Sources: Oxford Economics, Haver Analytics

What to watch out for

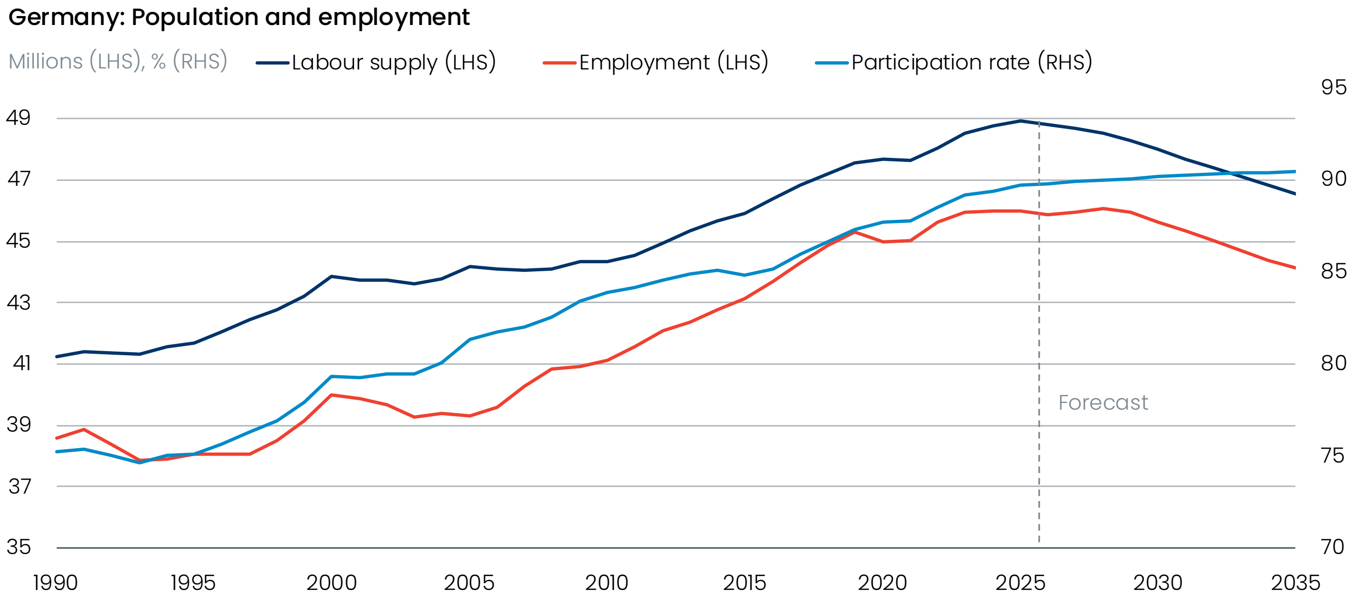
Pace of fiscal easing. Federal spending on key priorities has picked up since parliament passed the 2025 budget in September last year. But the investment surge can be attributed to categories only loosely tied to fixed investment, and military procurement finished 2025 behind plan. Meanwhile, revenue last year exceeded budget estimates and we continue to think that planned fiscal easing will initially disappoint.

Structural reforms. The announced fiscal easing was initially tied to a reform agenda to cut bureaucracy, restructure income tax, contain rising labour costs, and put pensions and healthcare on a more sustainable footing. The government has yet to specify or enact meaningful reforms. We see the latest policy announcements at most as a way of bridging the gap to a fuller package later this year, which the coalition has pledged to deliver.

Automotive sector. German carmakers and their suppliers face a challenging transition. Emissions standards are being tightened globally, triggering a shift towards hybrid and electric cars. German carmakers are investing heavily to protect their dominance, which is under threat.

Immigration. Beyond the near term, supply-side constraints and a tight labour market limit GDP growth prospects. Recent data point to slowing net migration, and labour supply pressures look set to worsen as large retiring cohorts exit the workforce and labour market reforms remain elusive (Chart 5).

Chart 5: Demographic decline will shrink the labour supply, despite rising participation

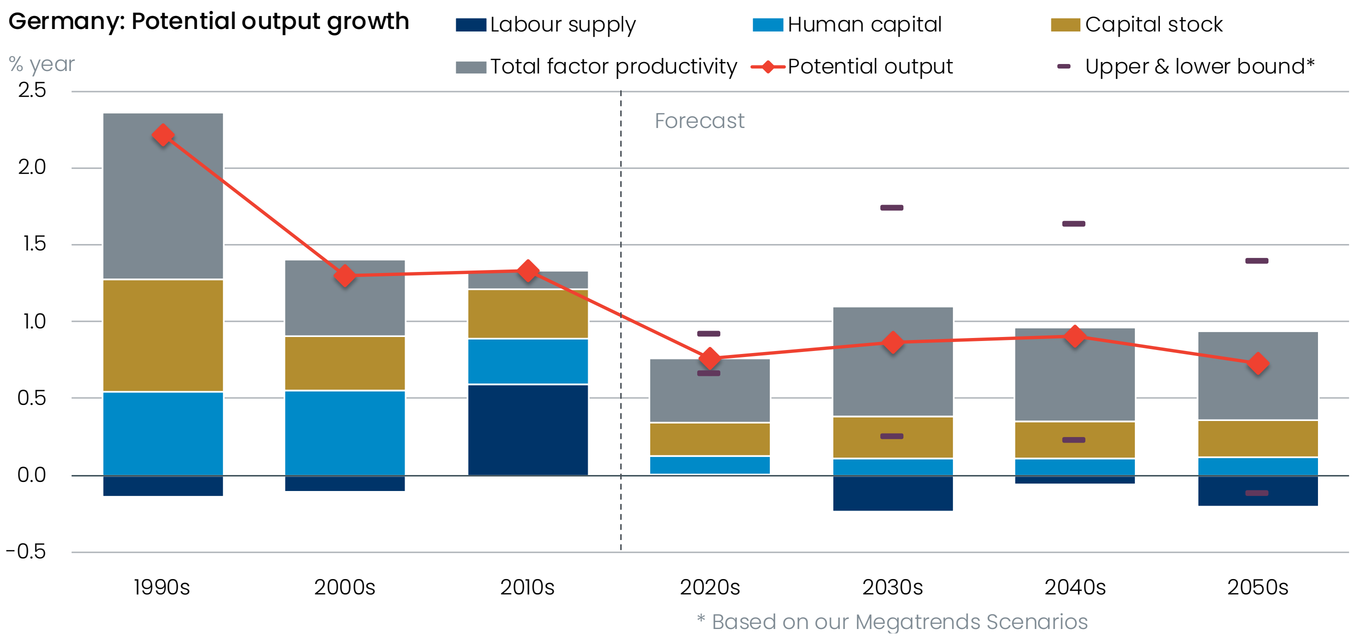


Sources: Oxford Economics, Haver Analytics

Long-term prospects

Propped up by the reunification boom and strong fundamentals, the German economy grew by 2.2% a year in the 1990s. But growth was only around half that during the following two decades, when Germany was considered the 'sick man of Europe' and suffered from the fallout from the global financial and euro crises.

Chart 6: Our forecast shows an increasing reliance on productivity growth



Sources: Oxford Economics, Haver Analytics

We expect even lower growth in the current and next decade, with average growth slowing to less than 1% (Chart 6). This is due to the impact of the pandemic and the severe structural headwinds. For one, Germany's pre-eminence in several of its key export industries is under threat. In addition, the ageing of the population and low fertility over recent decades are increasingly weighing on labour supply. Even assuming continued strong inward migration, the labour force is set to shrink by 0.5% a year over the next 10 years. As a result, medium-term growth will rely much more heavily on capital deepening and a marked pickup in productivity compared with the past decade.

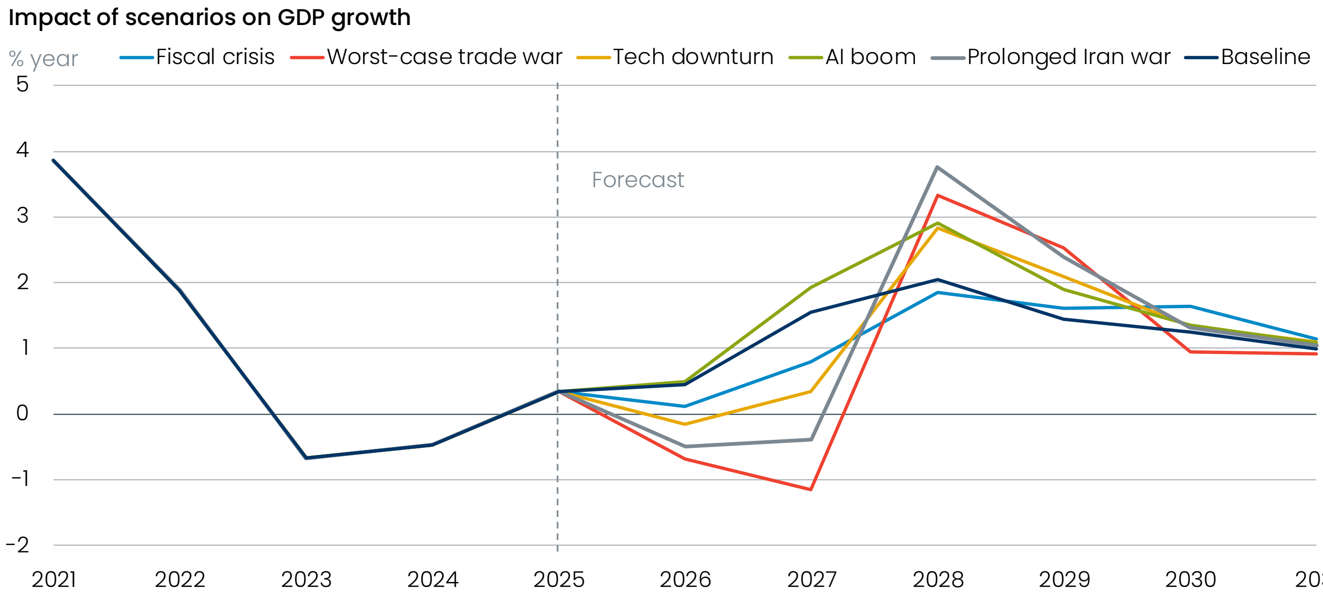
The government is ramping up public investment to make up for large shortfalls, but much of that needs to be considered replacement investment, doing little to bolster the capital stock. New geopolitical realities also mean that military equipment spending will play a larger role. Shortages of qualified staff in the administration and construction sectors will continue to slow the deployment of public funds, pointing to clear downside risks to public and publicly supported private investment.

Scenarios

Exposure to key global risks

AI boom. The global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. In the early stages of the scenario, US tech capital spending continues to grow sharply, mirroring the upswing witnessed in the 1990s. The surge in tech investment is accompanied by a further upswing in stock market performance. The world economy strengthens as robust US growth spills over globally, including to exporters of tech-related products to the US. Global growth remains buoyant, as productivity gains help keep price pressures in check despite the strength of global demand. Overall, Germany's GDP growth would be 0.4ppts above baseline over the next three years (Chart 7).

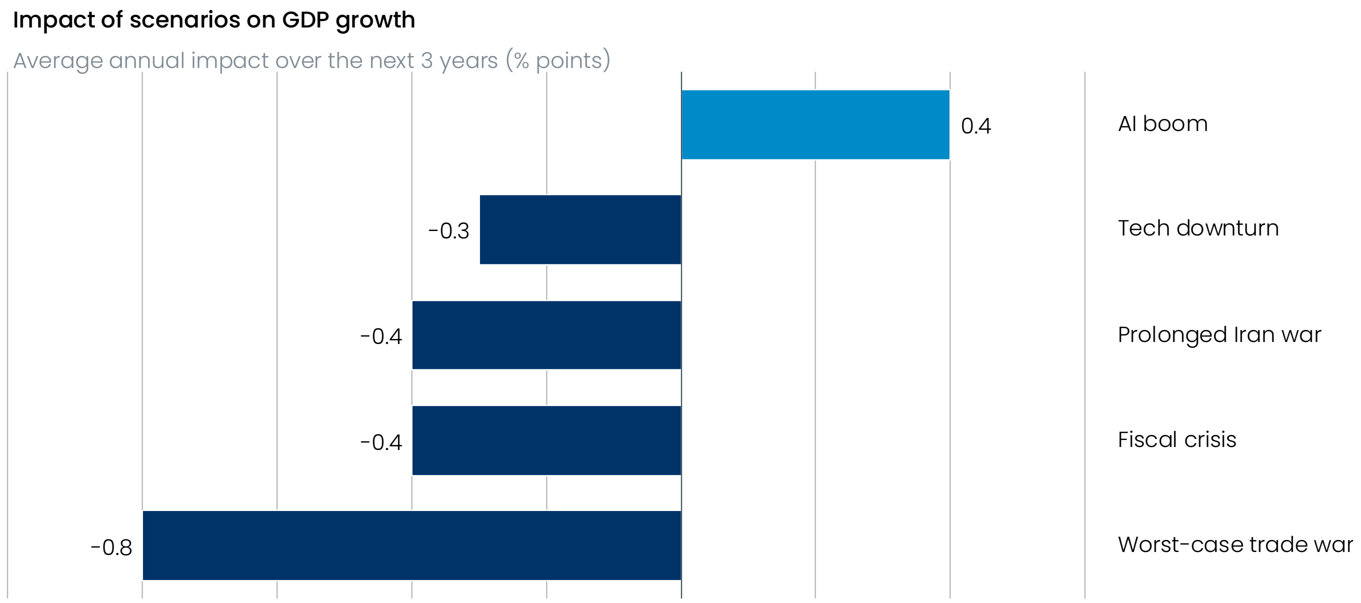
Chart 7: A prolonged Iran war and a tech downturn are key near-term risks



Source: Oxford Economics

Tech downturn. AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falls in stock prices and investment. US growth grinds to a halt during 2026, despite increased Fed policy easing, as the recent surge in US capital expenditure comes to an abrupt end. US weakness spills over globally. Exporters of tech-related products to the US are especially hard hit, but economies around the world suffer amid worsening sentiment and a substantial broad-based depreciation of the US dollar. Average growth in Germany would be 0.3ppts a year below our baseline forecast over the next three years (Chart 8).

Chart 8: Risks are skewed to the downside



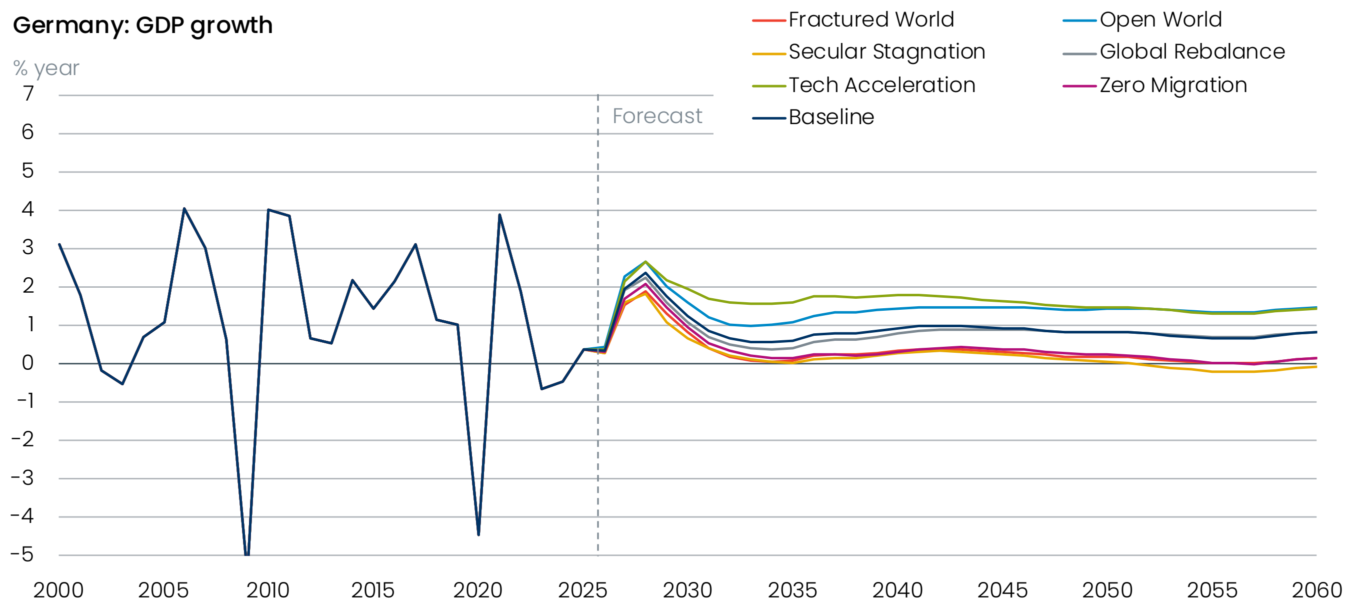
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier, mostly advanced economies, benefit first. Productivity gains result in Germany's GDP growing 0.8ppts a year more than in our baseline forecast for 2030-2050. Nominal and real interest rates would also be higher.

Chart 9: Secular stagnation and fractured world are key downside risks



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in the baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. German GDP growth would slow close to the point of stagnation in this scenario.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

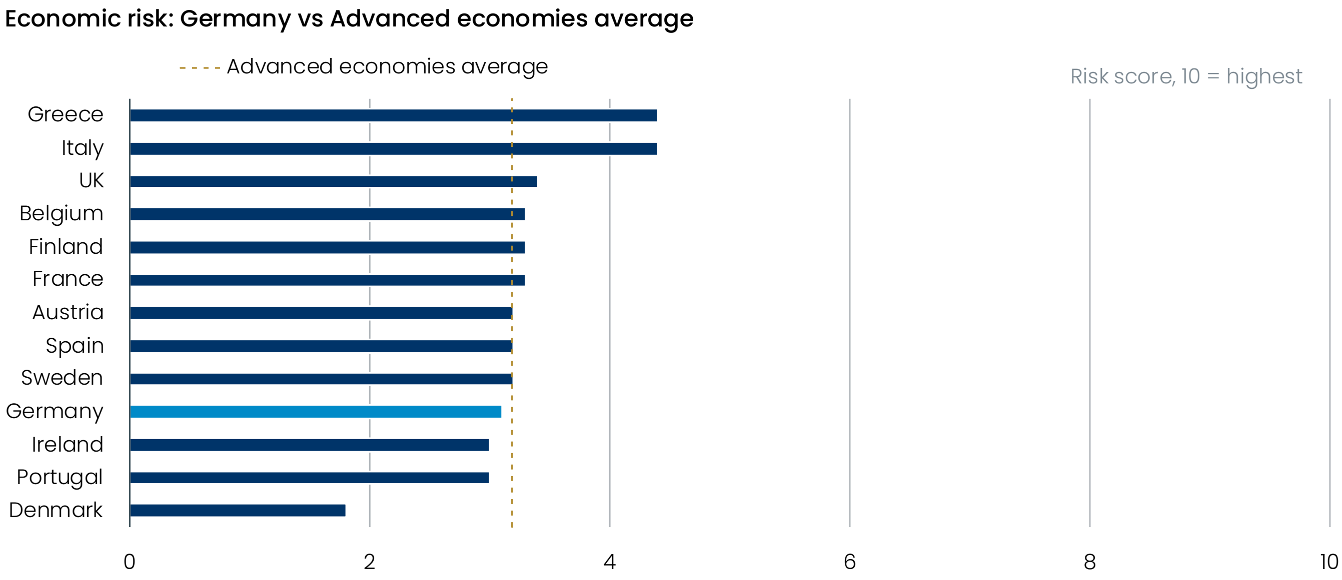
	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DEC	RANK OUT OF 164 (1= BEST)
Overall	3.1	0.1	14
Market demand	3.0	0.0	7
Market cost	2.0	0.0	4
Exchange rate	3.3	0.2	45
Sovereign credit	3.0	0.0	17
Trade credit	4.0	0.0	15

Source: Oxford Economics

Overall risk for Germany: 3.1/10*

Germany's economic risk score stands at 3.1, but it remains below the advanced economies' average of 3.4 (Chart 10).

Chart 10: Germany's risk score remains low



Source: Oxford Economics

The economy contracted in 2023 and 2024 on the back of the energy shock and losses in industrial competitiveness, before stabilising last year. GDP has risen only marginally above pre-pandemic levels and the escalation in trade tensions between the US and EU has prolonged this weakness. The impact of last year's tariff shock and the associated uncertainty still weigh on investment decisions. If the situation in the Middle East escalates or if we see a smaller-than-expected improvement in foreign demand, then the outlook could worsen.

But there are tentative signs that the large fiscal package the government agreed upon is starting to affect GDP growth. We expect this boost to lift growth well above potential over the coming years. Growth should receive a boost from higher public investment, but it's unlikely to be much above 1%, given the drag from weak demographics.

Market demand: 3.0/10

Domestic demand rebounded in late 2024 and early 2025 after dipping in 2022 and 2023, owing to the inflation-driven decline in real incomes and the drop in construction investment due to higher interest rates. Slower growth and a sluggish labour market have weighed on private consumption recently. If the government manages to deploy the increased fiscal funds this year, we expect demand to strengthen. But the pickup we expect in later this year will face headwinds from higher inflation, which will weigh on purchase intentions.

A larger increase in tariffs, higher-than-expected inflation, and a severe weakening in the labour market all present downside risks. The conflict in the Middle East also raises concerns about gas supply disruptions. On the upside, the government's strong fiscal position could support the economy, although uncertainty remains around the timing and composition of the increased spending. Over the longer term, low potential growth will weaken the German economy as poor demographics limit demand.

Market cost: 2.0/10

Soaring energy prices caused inflation to rise to 6.9% in 2022, but it slowed to 5.9% in 2023, 2.3% in 2024, and 2.2% last year. After easing recently, we expect inflation to pick up this year, averaging 2.9%. Higher energy prices are set to push up a range of inflation components and the gradual easing of fiscal policy will increase price pressures and wages later this year. From 2027, we expect inflation to remain above 2% for some time, potentially re-accelerating to around 2.4% in 2029, given the sustained nature of the fiscal push and the overall tight supply side of the economy. But we don't expect a period of runaway inflation.

Exchange rate: 3.3/10

The exchange rate risk is 3.3, in line with that of other Eurozone countries. The low score reflects large current account surpluses, but corporate loans and the banking sector are a modest risk.

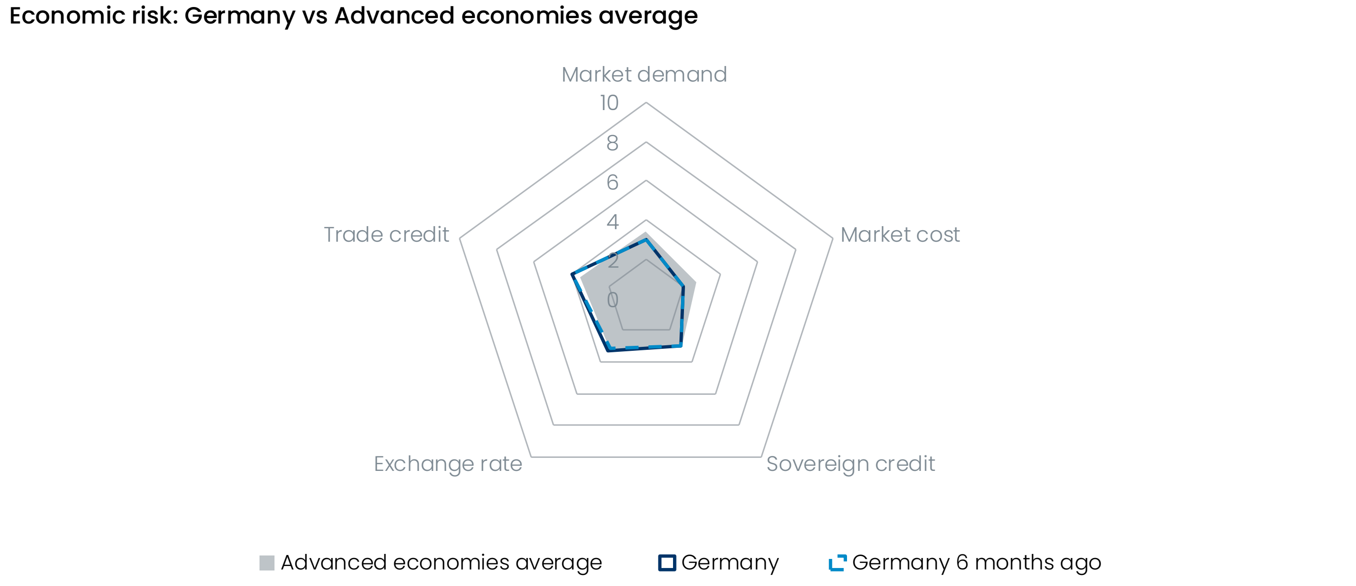
The euro surged to US$1.20 in early 2026 as US tariff uncertainty and a partial shift away from US assets drove dollar weakness, but has since pulled back to around US$1.15 as those initial drivers have gradually faded and risk-off episodes due to the conflict in the Middle East have favoured the US dollar. Resilient US economic data has tempered expectations of Fed easing, while the Iran war poses a structural headwind for the euro: Europe's greater energy import dependence makes it more exposed than the US to sustained oil price rises. ECB rate hikes offer some near-term support, but the associated tightening in financial conditions also weighs on the growth outlook. We forecast EUR/USD at US$1.17 at end-2026 and US$1.18 at end-2027, as fading structural headwinds provide modest longer-term support.

Sovereign credit: 3.0/10

Germany’s sovereign credit risk score is 3.0. The fiscal response to the pandemic caused a temporary surge in the budget deficit and government debt, which the energy crisis exacerbated. The fiscal stimulus announced in H1 2025 will increase the country's debt load. But even a reformed public debt brake would likely return the debt-to-GDP ratio to its previous downtrend. The large-scale fiscal easing that's now in the offing for the coming years will lift debt close to 70% from around 62%, with risks to the upside. But that would still be one of the lowest debt levels among the large, advanced economies.

Germany retains its top credit rating from the major rating agencies. The biggest risk to public finances is greater fiscal burden sharing within the currency bloc, but Germany and other core economies would resist this, making it a tail risk. The fiscal costs associated with the current structural challenges are another fiscal risk factor that necessitates higher spending.

Chart 11: Germany faces limited risks from trade-credit and market-cost pressures



Source: Oxford Economics

Trade credit: 4.0/10

Trade credit risk is at 4.0, slightly above the advanced economies average, reflecting Germany's heavy reliance on exports and heightened vulnerability to external competition. High energy costs also continue to weigh on terms of trade. Nevertheless, German firms benefit from a stable operating environment. Product market regulations are broadly in line with the OECD average, while price controls and other government regulations are less restrictive than the OECD average.

Corporate debt increased to more than 60% of GDP during the pandemic, but has fallen back below that level in recent years and is low by advanced economies' standards. Corporate interest rates have fallen in the wake of the series of European Central Bank rate cuts, but remain above pre-pandemic lows and are set to rise again as financial conditions have tightened following the Iran war.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see Economic and Political Risk Dashboard. Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. Find out more.